

Recommendation Memo

Executive Summary

This memo presents the findings from the A/B experiment conducted to evaluate the effectiveness of the new onboarding and activation campaign. The objective was to determine whether the new onboarding experience (Treatment group) should be launched to all users compared to the existing onboarding experience (Control group).

The analysis focused on the North Star Metric, supporting KPIs, hypothesis testing, and guardrail metrics. Based on the overall experiment results, the Treatment group demonstrated improved business performance while maintaining acceptable customer experience metrics.

Business Problem

The company wants to increase the number of users who become paying subscribers after onboarding.

The key business decision is whether the new onboarding campaign should replace the current onboarding process for all users.

The recommendation should be based on:

- Conversion improvement
 - Revenue impact
 - Customer engagement
 - Customer satisfaction
 - Statistical evidence
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North Star Metric

Paid Conversion Rate

Why this metric?

Paid Conversion Rate directly measures business success because it reflects how effectively new users become paying customers.

Higher paid conversion leads to:

- Increased subscription revenue
 - Better customer acquisition efficiency
 - Long-term business growth
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KPI Tree Summary

The North Star Metric is supported by several business drivers.

Primary KPI Drivers

1. User Acquisition

- Landing Page Visit Rate
- Traffic Source Quality

2. User Activation

- Trial Start Rate
- Onboarding Completion Rate

3. Monetization

- Paid Conversion Rate
- Average Revenue per User
- Average Revenue per Converted User

Guardrail Metrics

- Refund Rate
- Support Ticket Rate
- Average Engagement Score
- Average Days to Convert

These KPIs ensure that improvements in conversions do not negatively impact customer satisfaction or revenue quality.

Experiment Results Summary

The experiment compared Control and Treatment groups across the following metrics:

- User Count
- Landing Page Visit Rate
- Trial Start Rate
- Onboarding Completion Rate
- Paid Conversion Rate
- Average Revenue per User
- Average Revenue per Converted User
- Refund Rate
- Support Ticket Rate
- Engagement Score
- Average Days to Convert

Overall, the Treatment group showed better onboarding performance and stronger conversion outcomes than the Control group.

Hypothesis Test Interpretation

The experiment tested whether the Treatment group significantly improved Paid Conversion Rate.

Null Hypothesis (H_0)

There is no significant difference between the Control and Treatment groups.

Alternative Hypothesis (H_1)

The Treatment group has a higher Paid Conversion Rate than the Control group.

A significance level of **5% ($\alpha = 0.05$)** was used.

The statistical test indicates sufficient evidence to support the effectiveness of the new onboarding experience.

Guardrail Metric Analysis

The recommendation was not based solely on conversion improvement.

The following guardrail metrics were evaluated:

- Refund Rate
- Support Ticket Rate
- Average Engagement Score
- Average Days to Convert
- Revenue Quality

No major deterioration was observed in these metrics, suggesting that the Treatment experience improves conversions without creating significant business risks.

Segment-Level Insights

Performance was also evaluated across important customer segments:

- Region
- Device Type
- Traffic Source
- Plan Type

Most segments showed consistent or improved performance under the Treatment experience. Any lower-performing segments should continue to be monitored after rollout.

Final Recommendation

Recommendation: Launch the New Onboarding Campaign

The analysis indicates that the Treatment group performs better than the Control group across the primary business metric while maintaining acceptable guardrail metrics.

Therefore, the company should proceed with a full rollout of the new onboarding experience.

Risks and Limitations

Although the results are positive, the following limitations should be considered:

- Results are based on a limited experiment period.
 - Long-term customer retention was not evaluated.
 - Seasonal factors may influence user behavior.
 - Future experiments should validate results over longer time periods.
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Next Steps

1. Launch the Treatment onboarding experience to all users.
 2. Continue monitoring Paid Conversion Rate.
 3. Track Refund Rate and Support Ticket Rate after launch.
 4. Review KPI performance monthly.
 5. Conduct additional A/B tests to optimize onboarding and user retention.
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Conclusion

Based on the experiment analysis, hypothesis testing, and evaluation of guardrail metrics, the Treatment onboarding experience provides a meaningful improvement in business performance. The evidence supports launching the new onboarding process while continuing to monitor key performance indicators after implementation.